

his company is committed to growing the international business (both outbound and inbound) and the GIFT IFSC structure presents a great opportunity to capitalise on this endeavour. “There is also an opportunity of setting up an investment management entity within Indian shores while operating under international best practices (like Singapore, Abu Dhabi Global Market, Dubai International Financial Centre). Hence this is taking advantage of both worlds—suitable prod-



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AJAY TYAGI
FORMER CHAIRMAN, SEBI



“GIFT City is a work in progress... A lot of construction and infrastructure development is underway. Social infrastructure is being developed for people to live there”

M.S. SAHOO
DISTINGUISHED PROFESSOR, NATIONAL LAW UNIVERSITY DELHI; FOUNDER CHAIRPERSON, IBBI

ucts for different sets of investors and a portfolio management team based in India,” he says. His company opened a subsidiary office in GIFT City in November.

WHILE THERE IS palpable excitement about GIFT City, there are some pain points. “Before setting up shop in the GIFT City, a foreign entity expects to see the shop of an Indian entity there first. This requires relaxing regulatory restrictions on Indian financial firms,” says Sahoo. He adds that contract enforcement could be a challenge. “It may be difficult to transplant the Indian legal framework, including contract law, company law, and tax laws, in the GIFT City. Either the legal framework, including the court system, needs to be suitably modified for GIFT City, or an exclusive legal framework is enacted for the GIFT City.”

“There are a few challenges which need to be ad-

ressed like improvement in physical infrastructure, especially to attract expatriates to move and live in the vicinity,” says Thingna, adding that leisure zones, spas, residential buildings, and hospitals are under construction.

Tyagi believes that while building GIFT City has been a difficult and ambitious task, it is now poised for growth. “I expect that in another one year or so, it will have many more businesses, participants and better infrastructure,” he says. A study is also being conducted by consultancy McKinsey to benchmark and compare GIFT City to other similar global jurisdictions that should suggest ways to further improve the infrastructure and regulatory framework. In a move to attract more investments as well as international workers, the Gujarat government has also dealt with the issue of prohibition in the state and allowed liquor as a ‘wine and dine’ facility at restaurants, hotels and clubs operating in GIFT City. “It is a pragmatic and welcome decision by the Gujarat government,” says Tyagi.

The state government has also recently unveiled a draft redevelopment plan for expansion of GIFT City, which is expected to have an eventual population of 500,000. Estimated at a cost of more than ₹6,200 crore, this would be implemented over the next 15 years and the city would be expanded to 3,430 acres. It would house more residential and recreational facilities, riverfront development as well as the GIFT Eye—a large Ferris wheel on the lines of the London Eye. A metro line is also under construction and would provide easy connectivity to Ahmedabad for daily commuters.

The expansion would be in line with expectations that GIFT City would start reaching its potential in the next five to 10 years. Rajaraman is confident that this would be the case in a matter of five years.

Easing out the niggles may take time, but there is more momentum and confidence on the ground. “This was all village land earlier but now all big foreign companies are here. After 4 pm, it’s difficult to get a taxi from here as there is so much traffic,” sums up Naresh (name changed on request), the driver of this writer’s cab.

While GIFT City is set to play the long game, it has reached the velocity required for take-off. **BT**

(With inputs from Ashish Rukhaiyar)

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